Income and Wealth

▼ **What is a stock variable?**

A quantity measured at a fixed period of time e.g. wealth, GDP, inventories

▼ **What is a flow variable?**

A quantity which is measured with reference to a period of time e.g. income, depreciation, expenditure

▼ **What is income?**

The reciept of spending power by persons. Such income may be productive or non-productive

Productive income:

- A reward to the factors of production (rent, wages, dividends, profits)

Non-productive income:

- Recieved from the Government by persons as cash social service such as a pension

▼ **What are the types of income?**

Private income:

- Income earnt as an employee/self employed person (includes investments)

Gross Income:

- Private income plus government transfer payments (pensions and unemployment welfare)

Disposable Income:

- Gross income minus tax

Final Income

- Disposable income and any indirect government benefits (such as governments subsidising schools)

▼ **What is wealth?**

Is a stock variable

Refers to the stock of assets held, such as land, houses, shares, government securities, consumer dirables such as cars, and money, minus the liabilities including mortage, bank loands and credit cards

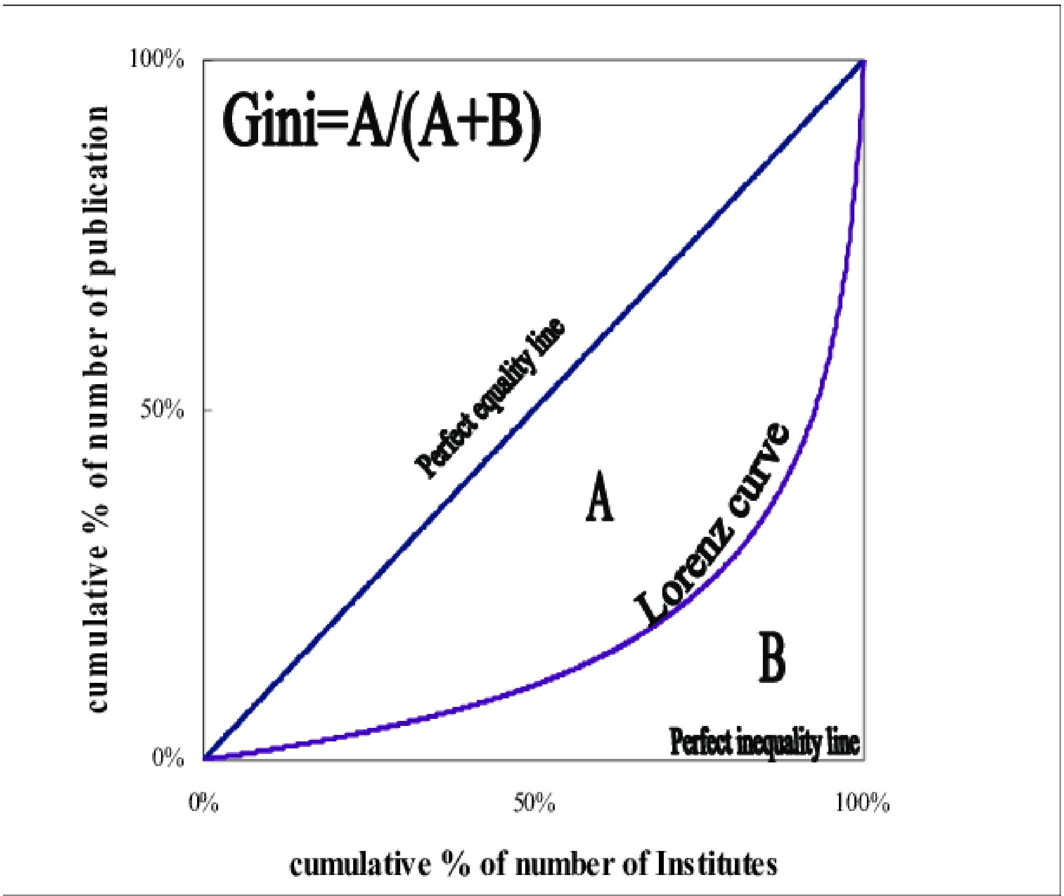
It may be acqured by inheritance, savings from income, or luck

▼ **How do we measure income inequality?**

Income inequality is a measure of the uneveness in income distribution within a population

Can be illustrated with the Lorenz Curve and represented with the Gini Coefficient

▼ **What is the Lorenz curve and Gini coefficient?**



$$Gini = \frac{A}{A+B}$$

The gini coefficient measures the area of the lorenz curve.

▼ **Limitations of the Gini coefficient**

- Definitions of income are varied (individual vs household)
- Income of informal sector is not counted (cash)
- Does not capture absolute differences in income
- Two countries can have different income distributions but have the same gini coefficient
- Does not capture social benefits or interventions intended to bridge the gap between the rich and the poor
- Does not reflect demographic factors

▼ **Stratagies for income redistribution**

- Direct tax (progressive tax system)
- Transfer payments (social welfare) → Pensions → Helps the person receiving it to achieve a higher standard of living
- Indirect government payments (subsidies) → education → Allows people who may not be able to access education to have access to it and subsequently be able to enter into higher paying jobs, which will allow them to increase their standard of living
- Increase minimum wages → Allows lower income earners to earn more and also increase the base level of income that people have access to, increasing standard of living
- Direct government spending → Jobkeeper and investment in infrastructure → Jobkeeper allowed many people in businesses heavily impacted by Covid to retain a level of income. Investment in infrastructure directly creates jobs and helps to reduce income inequality

▼ **Compare income and wealth.**

Income is a flow variable that is the money an entity earns over a period of time. Income can be productive, meaning you receive it from the factors of production (i.e. wages and dividends), or income can be non-productive, meaning you received it from the government(i.e. cash handouts and welfare).

Wealth is a stock variable that is the total value of all assets owned, minus the value of all liabilities. Assets could include cars, houses, shares and liabilities could include mortgages, credit card debt and personal loans.

▼ **Compare stock and flow variables.**

A stock variable is a quantity measured at a specific time. An example of a stock variable is GDP.

A flow variable is a quantity that is measured relative to time. An example is income and depreciation.

▼ **Outline the use of the Lorenz curve in its demonstration of the distribution of income and wealth**

A lorenz curve is a model that displays the distribution of income and wealth within a population. It graphs the cumulative percentage ownership of income/wealth against the cumulative percentage of population. The ideal curve is at 45 degrees which depicts 50% of the population owning 50% of wealth. In reality, due to the uneven distribution of income across most countries, the curve ends up to the right of the 45 degrees which displays 50% of the population owning more than proportional amounts of income.

From the lorenz curve, we can extract the gini coefficient. The gini coefficient is a measurement of income distribution that is derived from the lorenz curve and is found by calculating the area between 45 degrees and the country's curve, divided by the total area under the 45 degree curve. This generated figure can then be used to more easily compare different countries lorenz curve's and illustrate income distribution between countries. A coefficient of 0 indicates perfect equality while a coefficient of 100 indicates perfect inequality.

▼ **Describe the limitations of the Lorenze curve**

Three limitations to the lorenz curve as a measurement of income distribution are two countries could have the same gini coefficient but different real distributions of income, does not take into account hidden incomes and does not clearly define income as a whole.

Two countries could easily have the same gini coefficient but have different distributions of income. This may happen when the lorenz curves look vastly different in distribution but may have the same area, indicating the same gini coefficient.

In some countries, unofficial labour and incomes play a large role in the functioning of the economy. The fact that the lorenz curve does not take this into account undermines the true distribution of income across the population as income may in fact be higher than reported.

Each country can have their own definition of income to which they relate their lorenz curve to. For example, one country may use household incomes rather then personal incomes, generating a different lorenz curve based on the different measurement of what income is.

▼ **Outline some strategies for income redistribution**

Some strategies for income redistribution include direct welfare payments, indirect payments, and government spending.

Direct welfare payments are direct transfers of money from the government to the receiver. This is primarily done to those who are on pensions. They are done to promote a higher standard of living within the economy. An example of direct welfare is the jobkeeper program during the Covid-19 crisis. As people lost jobs and became unemployed, the government stepped in to pay a portion of their incomes for them. This was done to promote spending and economic growth within the economy, but also to ensure a minimum standard of living across the economy.

Indirect payments include subsidies and welfare that is indirectly consumed by the population. An example of this is subsidised education. This is done to take a burden off the community and allow their money to be spent on essential items. Subsidies are effective in industries that provide a high benefit to society (merit goods) and are often expensive, so therefore implementing a subsidy should promote a healthier society and one that will prosper.

Government expenditure on capital can be used to redistribute income by employing workers in periods of low infrastructural expansion. Infrastructure spending makes up a large portion of GDP and consequently a lot of people's incomes. Stimulating capital investment reduces the gap in income equality by provide a level of income that will fulfill an appropriate standard of living.